

Table 10.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Compute the formation height by taking the difference between the horizontal top and the lowest low in the pattern. For upward breakouts, add the height to the value of the horizontal trendline. For downward breakouts, subtract the height from the lowest low in the pattern. The result is the target price. The bottom portion of this table shows how often the measure rule works.
Wait for breakout	It is unclear which way price will break out (upward breakouts happen most often), so it is best to wait for price to close outside the trendlines. Once they do, expect price to continue moving in the direction of the breakout.
Stop location	Once a breakout occurs, consider the opposite side of the formation as the stop-loss point. However, in many cases you will want something closer to your purchase price, so look for nearer support or resistance zones or use a volatility stop.
Intraformation trading	For aggressive and experienced traders, consider placing a trade as price reverses course at the pattern's lower trendline boundary. Go long at the bottom (which hopes for an upward breakout), but be sure to use stops.
Partial decline	Short a stock if you see a partial decline once price curls around and begins heading back up. A partial decline correctly predicts an upward breakout 75% of the time.
Busted trade	If you see a busted downward breakout, then consider buying the stock. See Table 10.9 for details.

Description	Up Breakout	Down Breakout
Percentage reaching half height target	82%	76%
Percentage reaching full height target	65%	51%
Percentage reaching 2× height	49%	23%